Northwind grew revenue 18% in Q3 while holding margins flat

Quarterly business review for the executive team

Strategy & Operations · November 2026

01

Performance

Revenue, margin and customer metrics

Q3 beat plan on revenue and retention, but cash conversion slipped

$48.2M

Revenue, Q3

+18% YoY

31.4%

Gross margin

-0.3 pts

94%

Net revenue retention

+2 pts

41 days

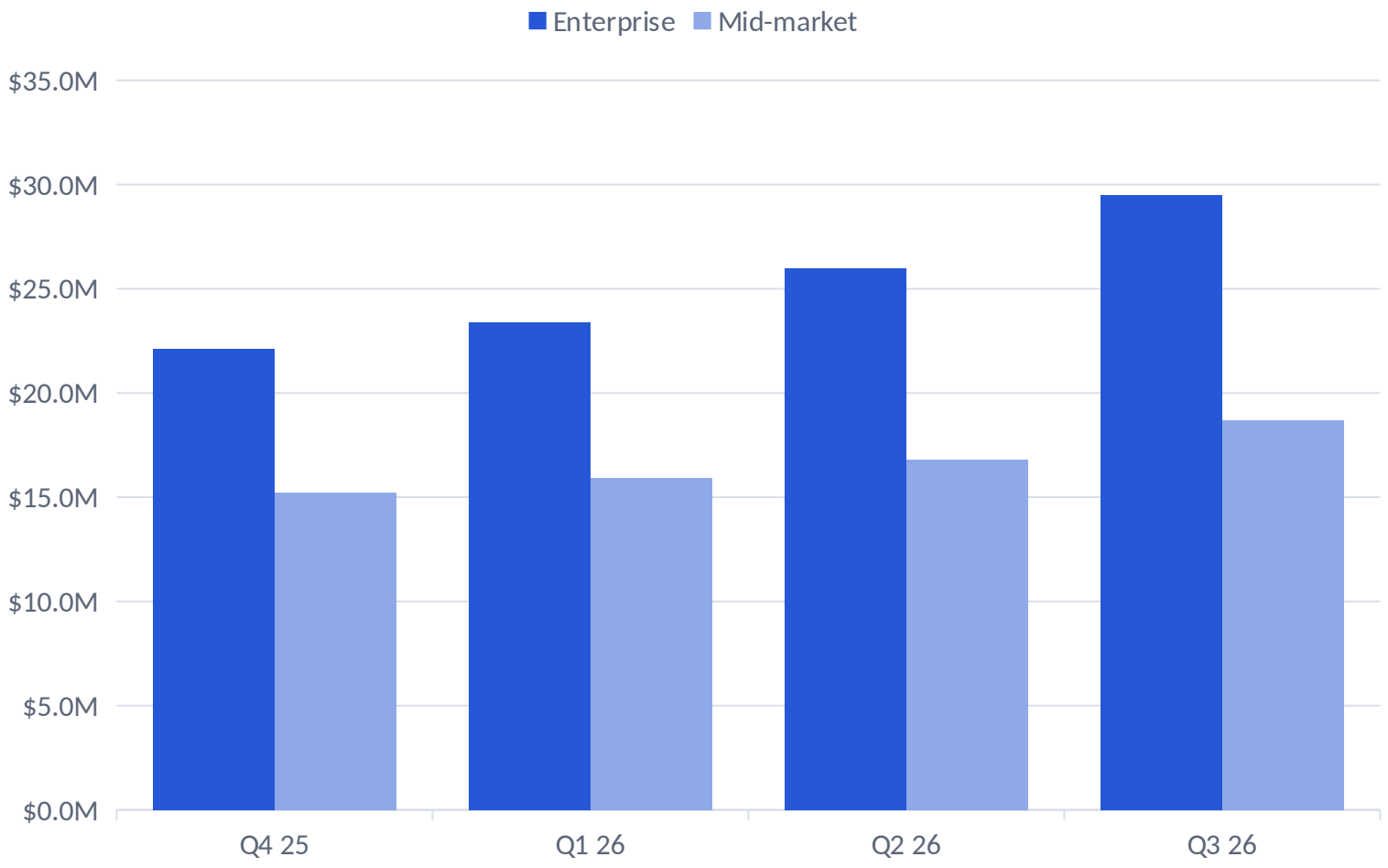
Days sales outstanding

-6 days worse

Growth is coming from existing accounts; collections are the main operational risk going into Q4.

Source: Northwind finance system, Q3 close

Enterprise drove two thirds of the revenue increase



What this shows

- Enterprise up $7.4M over four quarters
- Mid-market growth steady at 7% per quarter
- No single account above 6% of revenue

Source: Finance system

Three operational issues explain most of the margin pressure

- Freight costs rose 11% after the carrier contract reset in July
- Discounting widened on multi-year renewals
  - Average discount 14% vs 9% last year
  - Concentrated in three regions
- Onboarding headcount grew ahead of new bookings
- Warranty claims normalised after the Q2 spike

Fixing freight and renewal discounting recovers roughly 1.1 points of margin.

The renewal discount problem is a policy gap, not a pricing gap

What we see

- Reps approve discounts above 10% without review
- Multi-year deals receive the deepest cuts
- Win rates did not improve with deeper discounts

What we propose

- Deal desk review above 10% discount
- Price multi-year commitments on volume, not term
- Monthly discount report to regional leads

North and West regions account for most of the discount leakage

Region	Renewals	Avg discount	Leakage ($K)
North	142	16.2%	1,240
West	118	15.1%	980
South	97	11.4%	410
East	88	9.8%	220
Total	**445**	**13.9%**	**2,850**

Two regions drive 78% of leakage, so the fix can start there.

The plan recovers margin within two quarters

Nov 2026

Deal desk live

Review threshold at 10%

Dec 2026

Freight re-tender

Three carriers shortlisted

Feb 2027

Discount reporting

Monthly regional review

Apr 2027

Margin target

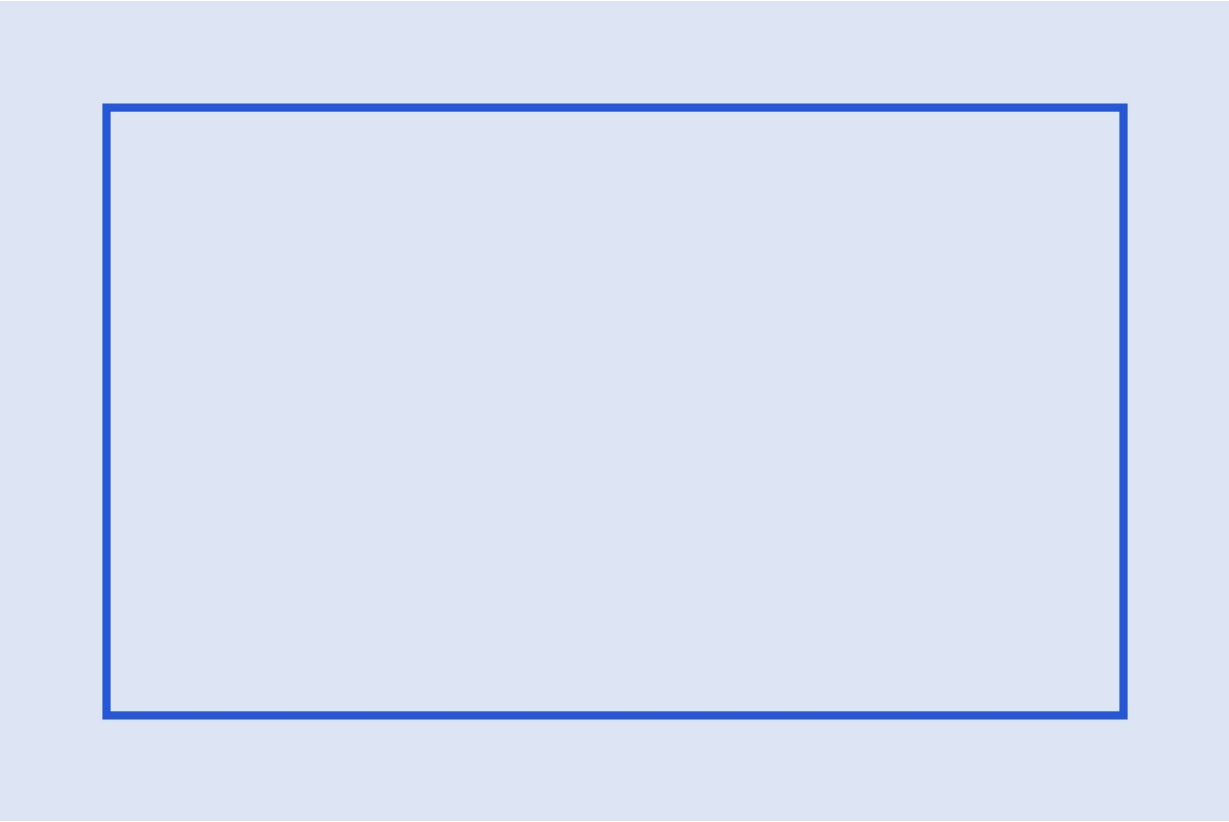
32.5% gross margin

Customers are telling us speed matters more than price

> *We never lost a renewal on price last year. We lost two on onboarding speed.*

— VP Customer Success

The new deal desk flow adds one approval step for large discounts



- Rep submits discount request in CRM
- Deal desk responds within one business day
- Approvals above 20% go to the CFO